

Supply Chain Incident Report

Reference: SC-INC-2026-014 | Prepared by: Merchandising & Supply Chain Team | Date: April 28, 2026

1. Summary

Between April 5 and April 24, 2026, Northwind Retail Co. experienced a nationwide stockout of the AeroFit Running Shoes, our top-selling SKU by unit volume across all ten stores. The stockout was caused by a shipment delay from our footwear supplier, Vertex Apparel Co., and materially contributed to the company-wide revenue decline observed in April 2026.

2. Root Cause

Vertex Apparel Co. notified our procurement team on April 4, 2026 of a three-week delay to the scheduled AeroFit Running Shoes shipment originating from their Ho Chi Minh City facility. The delay was attributed to two compounding factors: (1) port congestion affecting outbound container availability, and (2) an internal quality-control hold placed on a portion of the batch after a routine inspection flagged inconsistent sole adhesive curing. Combined, these pushed the estimated arrival date from April 6 to approximately April 25.

3. Business Impact

Central distribution center inventory for AeroFit Running Shoes fell below safety stock threshold on April 5 and remained critically low through April 24. Because AeroFit Running Shoes typically accounts for a disproportionate share of footwear category unit volume, the stockout produced a visible dip in both footwear attach sales and overall store traffic conversion during the affected window. Finance's preliminary estimate attributes roughly 40% of the April month-over-month revenue decline to this single SKU's unavailability, with the remainder explained by a return to baseline demand following the Spring Momentum promotion, which had pulled forward purchases into early March.

4. Resolution

The delayed shipment cleared quality control and arrived at the central distribution center on April 24, 2026. Store replenishment resumed immediately, and AeroFit Running Shoes was back in stock at all ten locations by April 27, 2026. May sales data shows recovery consistent with pre-incident baseline.

5. Recommendations

#	Recommendation	Owner	Target Date
1	Add secondary footwear supplier to reduce single-source risk for top-20 SKUs	Procurement	Q3 2026
2	Raise AeroFit Running Shoes safety stock threshold from 2 to 3.5 weeks of supply	Supply Chain	Immediate
3	Establish early-warning alert when any top-10 SKU falls below safety stock	Analytics	Q3 2026